

Case-Iggy's Bread of the World

Team 10



Oshin

Kojo

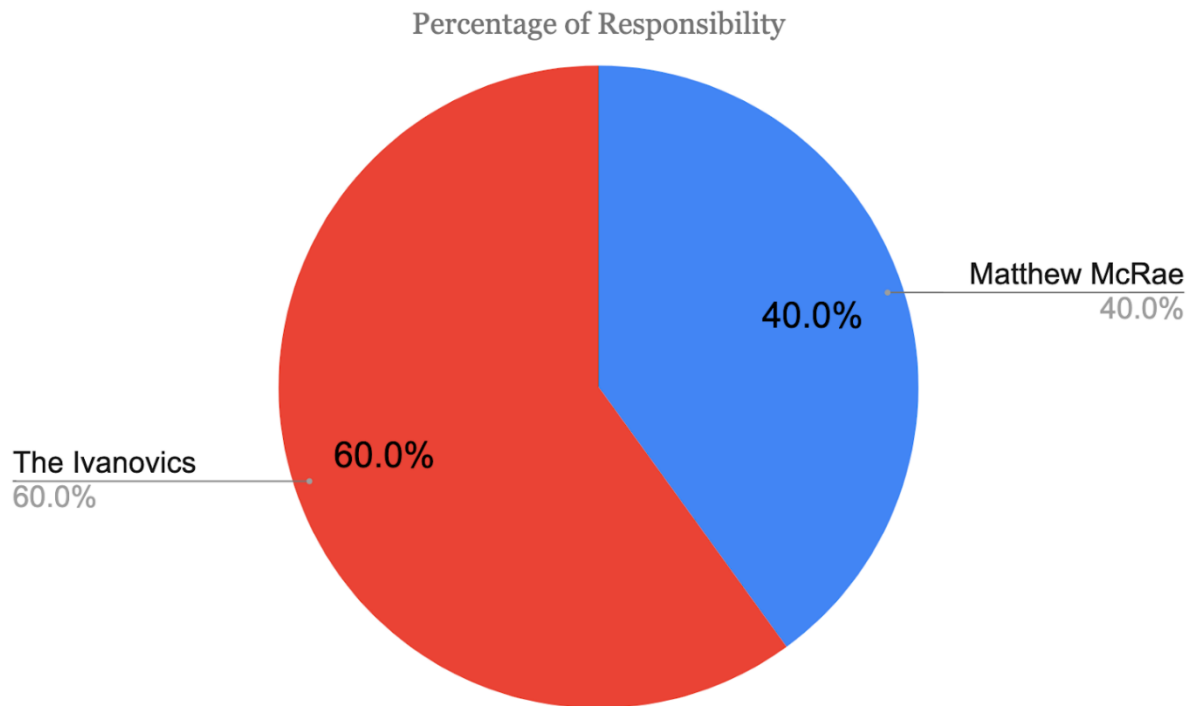
Thomas

Zeng

Angelina

Question 1

1. What percentage of the responsibility for the current situation lies with McRae? What percentage of the responsibility for the current situation lies with Igor and Ludmilla? Be specific. Cannot be 50 / 50. Create a graph depicting your percentages.



Question 2 -McRae

1. Why did you choose this percentage of responsibility for Matthew McRae?

Note: Percentage Distribution and Rationale is mentioned below.

❖ **Abrupt Resignation and Proposal: (15%)**

- Matthew not only abruptly sent in a letter of resignation but also personally attacked Igor and Ludmilla in it. Only the next day, Matthew rescinded the letter, expecting Igor and Ludmilla to immediately take him back. Due to this, Igor was put in an

uncomfortable situation due to the uncertainty of McRae's employment and the future of the company.

- Matthew proposed a “staggering” proposal: significant raise along with “bonuses based on profit”. Rather than providing constructive feedback or points of improvement for the company, McRae focused solely on increasing his compensation. This clearly shows that McRae may prioritize himself and his success rather than the health and growth of the company. This starkly contrasts with the Ivanovics who wholeheartedly put their heart and soul into the company and hold a genuine passion for internal baking processes and products.
- McRae explicitly displayed his short temper when events didn't go his way. This clearly shows a lack of cooperative skills as McRae seems to have more of a selfish approach to the company's operations. Due to this, Igor is put in a difficult position as it seems that he must sacrifice some of his control and decisions of the company for the sake of McRae. This forces the company to have more of a single leadership, rather than operating as an effective team, which was the original goal of hiring McRae. As mentioned in the case, Igor hired McRae as a COO who could contribute and aid on the management side of the company for the founders, rather than solely lead the company.

❖ **Lack of 3 C's: Consultation, Communication, and Collaboration (15%)**

- McRae failed to communicate and consult the Ivanovics regarding the process of hiring a Distribution Manager, CFO, and Vice President of Sales and Marketing. Considering the fact that these positions are significant roles in the company, McRae failed to properly consult with the founders of the company, who hold the original values, goals, and plans for the company.
- McRae constantly resisted Igor's wish to showcase and prove more progressive growth in the company, making their relationship more strained and distant. By refusing to communicate with the founders regarding the progress of the company's operations, McRae continues to stray away from the original founders, which encourages the founders to believe that McRae is trying to take control over the company. Since the founders have the most knowledge of company culture and McRae failed to communicate properly with the founders, McRae puts the future success and growth of the company at risk.
- Despite engaging in mediated discussions to resolve conflict and tension, McRae hired another top manager without consultation, which ultimately caused Igor to

lose his patience with McRae. This puts Igor in a position to be skeptical about McRae's truthfulness and willingness to cooperate harmoniously.

❖ **Poor Hiring Decisions: (15%)**

- McRae did not conduct thorough research before hiring certain positions, such as Diane Coleman for Vice President of Sales and Marketing. sure,entioned before, since these positions are crucial roles within the company, McRae failed to make sure that the individuals hired have sufficient knowledge, skills, and experience to successfully work for the company.
- McRae hired his friend and brother without extensive research on their experience and compatibility, which created a slight sense of nepotism. When existing employees notice the presence of favoritism and perceive that promotions and opportunities are based on personal connections rather than merit, it can lead to feelings of demotivation, frustration, and resentment. Furthermore, due to the new employees having personal connections with McRae, they may feel as if they have a slight edge and sense of empowerment over the long-term employees, distancing themselves from other employees. This inevitably leads to the obstruction of team unity and effective cooperation.
- Sudden hirings can lead to differences and tension in organizational culture between long-term and new employees. Considering the fact that long-term employees felt as if they were being ignored by McRae, this can further lead to existing employees feeling demotivated and futile within the workplace. Furthermore, hiring without consultation can lead to a lack of trust between Matthew and the Ivanovics.

❖ **Isolated from Company Operations and Culture: (15%)**

- Consequently, McRae and the new management team not only did not show any interest in getting to know the long-term employees but appeared to be isolated from Iggy's existing culture.
- By not truly understanding the cross-functional dynamics of the company, it can be difficult for new employees to effectively resolve issues when they come up.
- The rapid introduction of new practices without consultation led to employee dissatisfaction, especially for existing employees.

- McRae, along with the new management, created an organizational chart with a new organizational hierarchy that forced the founders to lack control and feel disconnected from the organization they created.

2. What could McRae have done differently?

❖ Enhanced Integration:

- McRae could have made more effort to focus on better cultural integration within the organization before making strategic significant changes. This would involve engaging with the current employees and asking their opinions, which could result in a more cohesive work environment and improve the morale of the employees. McRae could also build a stronger collaboration with the Ivanovics so they could come up with a plan together that guides the company forward. This would ensure the consistency of the business's core value and strengthen the collaborative state within the company.

❖ Transparent Communication:

- McRae could also establish a good and effective communication plan with the employees and founders before making executive decisions. This would ensure that the company's goal will not interfere with the company's original goals, mission, and values. This would also prevent further misunderstandings and future conflict, allowing the entire organization to function more effectively as a team. By improving the communication system in the organization, it could avoid a lot of dissatisfaction from the original staff members, as they have a better idea of their purpose within the company. This would create a more motivated work environment.

❖ Gradual Implementation of Changes:

- Rather than making abrupt executive decision changes, McRae should implement changes gradually and more naturally. Perhaps McRae should allocate sufficient time to distribute ideas for new changes and improvements to various departments of the organization, especially the founders, to prevent any future struggles. The gradual change will let the company adjust more comfortably and smoothly leading to a more successful transformation in the business.

- For example, once given sufficient time for the management team and founders to get a better understanding of the new employees, along with some time for the entire employee base to familiarize themselves with each other, the company can ensure that the team can continue to function cohesively, despite the addition of new faces.

3. How do you think the results would have differed given your suggestions? Be specific.

❖ **Better Integration:**

- Integration fosters a collaborative environment where departments work together towards common objectives. This reduces misunderstandings, ensures that everyone is on the same page, and helps align activities with the company's strategic goals.
- With proper organizational integration, the outcome would be a more cohesive work environment, in which the morale of the employees would be improved.

❖ **Open Communication:**

- If McRae fostered stronger internal communication and collaboration, the company could operate as a unified team allowing them to reap the benefits of heightened team performance, ultimately leading to fewer operational errors and more innovative solutions.
- More consistent communication would also allow the founders to feel more trust and therefore provide more support for McRae and his decisions. Communication through thorough negotiations allows the leveraging of diverse perspectives in the organization's operations and decisions, which would be a key element for organizational success and growth.

❖ **Gradual Change Implementation:**

- A more gradual approach to implementing changes would allow for more sustainable improvements within the company and opportunities for troubleshooting new changes and improvements.

- Gradual implementation also provides sufficient time for the organization's employees to fully understand and get used to the new aspects of the organization. This would ultimately make the new employees more comfortable with the company's operations and values, allowing them to smoothly transition into a cohesive work unit with the existing employees.

Question 3 - The Ivanovics

1. Why did you choose this percentage of responsibility for The Ivanovics?

❖ Lack of clear direction & standards: (10%)

- By hiring McRae, the Ivanovics stepped away from everyday operations. Therefore, without first establishing a clear structure and framework for McRae, it is inevitable that there will be differences and conflicts between the founders' vision and McRae's operations. The Ivanovics seemed to display their lack of control after hiring McRae, but this was an inevitable result as they did seem to step away from the company's operations management side.

❖ Delay in addressing issues and quickly responding to Matthew: (10%)

- Despite their disagreements with Matthew's decisions, Ivanovics allowed further tension to build by not immediately discussing with Matthew and addressing their concerns.
- They were hesitant to take action against McRae, which led to the issue being escalated.
- Unaddressed issues can lead to higher costs over time. For instance, delays in maintenance or repairs can result in more extensive damage and expensive fixes.
- The act of not immediately responding to McRae also causes McRae to feel as if his decisions are correct as he is not receiving timely feedback from the founders.

❖ Lack of due diligence: (10%)

- The Ivanovics could have implemented change in a slower way to account for any problems that could happen with implementing a new leader abruptly.
- The founders hired McRae based on personal recommendation and initial appeal, rather than a thoughtful interview process that might have revealed misalignment in vision and actions.
- Similarly to how McRae lacked due diligence in his hiring process, the Ivanovics made the same mistake. Due to their lack of due diligence, they ultimately brought in someone who caused further issues for their company in terms of the hiring process.

❖ **Inadequate Knowledge Transfer: (10%)**

- The Ivanovics did not conduct any comprehensive knowledge transfer sessions. While the founders had a deep understanding of their business, this knowledge wasn't effectively shared with others within the company. As further knowledge of the company and its values is spread within the workforce, it can be a much smoother and easier process for new hires to adapt and understand the company norms.
- Igor excelled at operational aspects and day-to-day management, serving as the "brain" of the business. However, he struggled with making crucial, high-level decisions.
- Ludmilla (his wife) was the "heart" of the business, possessing a unique ability to connect with employees on a personal level. She adeptly managed relationships, helping employees learn English and adapting her approach to support immigrant workers.

❖ **Limited Vision for Growth Potential (10%):**

- The founders lacked the foresight to fully recognize and plan for the growth potential of their business. This gap in strategic vision left them unprepared when their business experienced an unexpected surge in demand.

2. What could The Ivanovics have done differently?

❖ Standards and Rules:

- The Ivanovics could have set up some standards and rules with McRae so that he knows to consult before hiring a whole team for himself and other operational nuances. Standards and rules ensure that processes and practices are consistent across the organization. This consistency helps employees understand what is expected of them, reduces confusion, and makes operations more predictable.

❖ Addressing Concerns:

- The Ivanovics could have addressed their concerns to McRae earlier and in a far more direct manner before the problem escalated. Ensuring that McRae and the Ivanovics are on the same page would prevent tension from building up and further conflict in the future. If any differences were to arise, the Ivanovics and McRae could have taken a methodical approach to negotiate and settle these differences more harmoniously.

❖ Knowledge Transfer Sessions

- The Ivanovics could have conducted multiple knowledge transfer sessions regarding the basics of operations, such as how raw goods are bought, processed, and packaged. They should have explicitly mentioned their goals and values (the product is of utmost importance).
- Knowledge transfer sessions ensure that vital information, processes, and expertise are maintained when employees leave or change roles. This is especially important for retaining institutional knowledge and maintaining continuity in operations.
- The sessions also promote collaboration by encouraging employees to share their expertise and learn from one another. This can build stronger relationships, improve teamwork, and create a more cohesive work environment.

3. How would these changes affect the outcome?

❖ Standards and Rules:

- If there were some rules and standards, McRae would know to consult the Ivanovics before hiring anyone and giving titles to everyone. Through proper consultation, McRae and the Ivanovics can prevent any unqualified people from joining the company. This would also foster a more cohesive work environment once the new employees join as management can have a general idea of the employees and how they operate.

❖ Addressing Concerns:

- If Igor addressed his concerns earlier, McRae would've known that he needed to settle down in the company and learn the core values of the company before making significant and influential decisions. As McRae and the management team get a better understanding of the company and its values, they can then effectively transfer that knowledge to newly hired employees.

❖ Knowledge Transfer Sessions:

- Knowledge transfer sessions are an effective way to ensure clarity and smoothly integrate new team members. If these sessions had been conducted properly, it could have led to better decision-making, such as consulting the team before hiring. Additionally, employees would have felt more valued and included in the process. As more and more of the company's workforce feels included and engaged, total productivity is bound to increase, ultimately fostering company growth and success.